Kapasa Makasa University

Department of Agriculture and Aquatic Sciences

Agribusiness Management (SA: 500)

Lecture 6: Organizational Leadership & HRM in Agribusiness

by

Loyce Mwila Chama

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Introduction

- Agribusiness firms are made up of people working together toward a common purpose.
- As soon as an agribusiness involves more than one person, organizational, personnel, leadership, and motivational issues arise.

One of the fundamental responsibilities of management is to:

- Acquire
- Organize
- Motivate
- Lead
- Manage human resources to accomplish business objectives effectively.

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Human Resource Management in agribusiness

Organizational leadership is centred around Human Resource Management (HRM). In agribusiness, HRM involves:

- Designing an **organizational structure**
- Managing **people and leadership**
- Ensuring proper **communication**
- Balancing **formal and informal relationships**

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Organizational Structure

Organizational structure is the formal way that employee responsibilities are assigned in a firm such as who reports to whom, who has responsibility for what, etc.

Organizational structure defines:

- Responsibilities
- Authority
- Accountability
- Reporting relationships

A good structure should be:

- Flexible
- Clear
- Responsive to the market
- Support employee growth
- Promote accountability

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Responsibility, Authority, and Accountability

Responsibility, Authority, and Accountability are the three core concepts in HRM.

1. Responsibility

Responsibility is the obligation to see a task through to completion.

- Cannot be given away
- Can be shared
- The originator remains responsible

Example: A farm manager assigns spraying to a supervisor, but remains responsible for crop quality.

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Responsibility, Authority, and Accountability

2. Authority

- **Authority is the right to command or force an action by another.**
- Derived from responsibility
- Gives the right to issue instructions
- **Example:** A greenhouse supervisor has authority to direct workers.

3. Accountability

- **Accountability involves being answerable to another person for performance.**
- Linked to rewards and penalties
- Derived from responsibility
- **Example:** A retail manager is accountable to the General Manager for store profits.

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Principles of Organization

Principles of Organization guide effective structure design. These include:

1. Span-of-Control Principle

2. Minimal Layer Principle

3. Delegation Downward Principle

4. Parity of Responsibility and Authority Principle

5. Flexibility Principle

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1. Span-of-Control Principle

The number of people who can be supervised effectively by one individual is limited.

Depends on:

- Nature of work
- Skills of employees
- Frequency of supervision
- Communication systems

Example

- Routine farm work may require wider span
- Technical tasks may require smaller span

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2. Minimal Layer Principle

The number of levels of management should be kept as low as possible.

Why?

- Reduces communication breakdown
- Speeds up decisions
- Reduces administrative costs
- Modern trend: **Flattening organizations**

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3. Delegation Downward Principle

- **Authority should be delegated downward to the lowest level at which the decision can be made competently.**

Important:

- Delegation does NOT remove responsibility
- Supervisor remains responsible
- **Example:** Nursery manager delegates ordering inputs to assistant.

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4. Parity of Responsibility and Authority Principle

- **A person should have enough authority to carry out assigned responsibilities.**

Unfair to:

- Hold someone accountable
- Without giving decision-making power

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5. Flexibility Principle

- **An organization should maintain structural flexibility to adjust to changing internal and external environments.**

Important because:

- Markets change
- Technology changes
- Staff changes

But structural change can disrupt operations.

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Types of Organizational Structures

There are three main types:

(i) Line organization

(ii) Line and staff organization

(iii) Functional organization

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1. Line Organization

1. Line Organization

- A structure in which there is one simple, clear line of authority extending downward from top management to each person in the organization.

Characteristics:

- Each employee reports to one supervisor
- Clear chain of command
- No specialists

Best for:

- Small agribusinesses
- Start-ups
- Family farms

Advantages:

- Simple
- Quick decisions
- Clear accountability

Disadvantages:

- Not suitable for large firms
- No place for specialists
- Communication delays as firm grows

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1. Line Organization Structure



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2. Line and Staff Organization

Line and Staff Organization

A variation of the line organization that includes specialists (staff).

Staff roles:

- Advisory
- Service
- Control functions

Example staff:

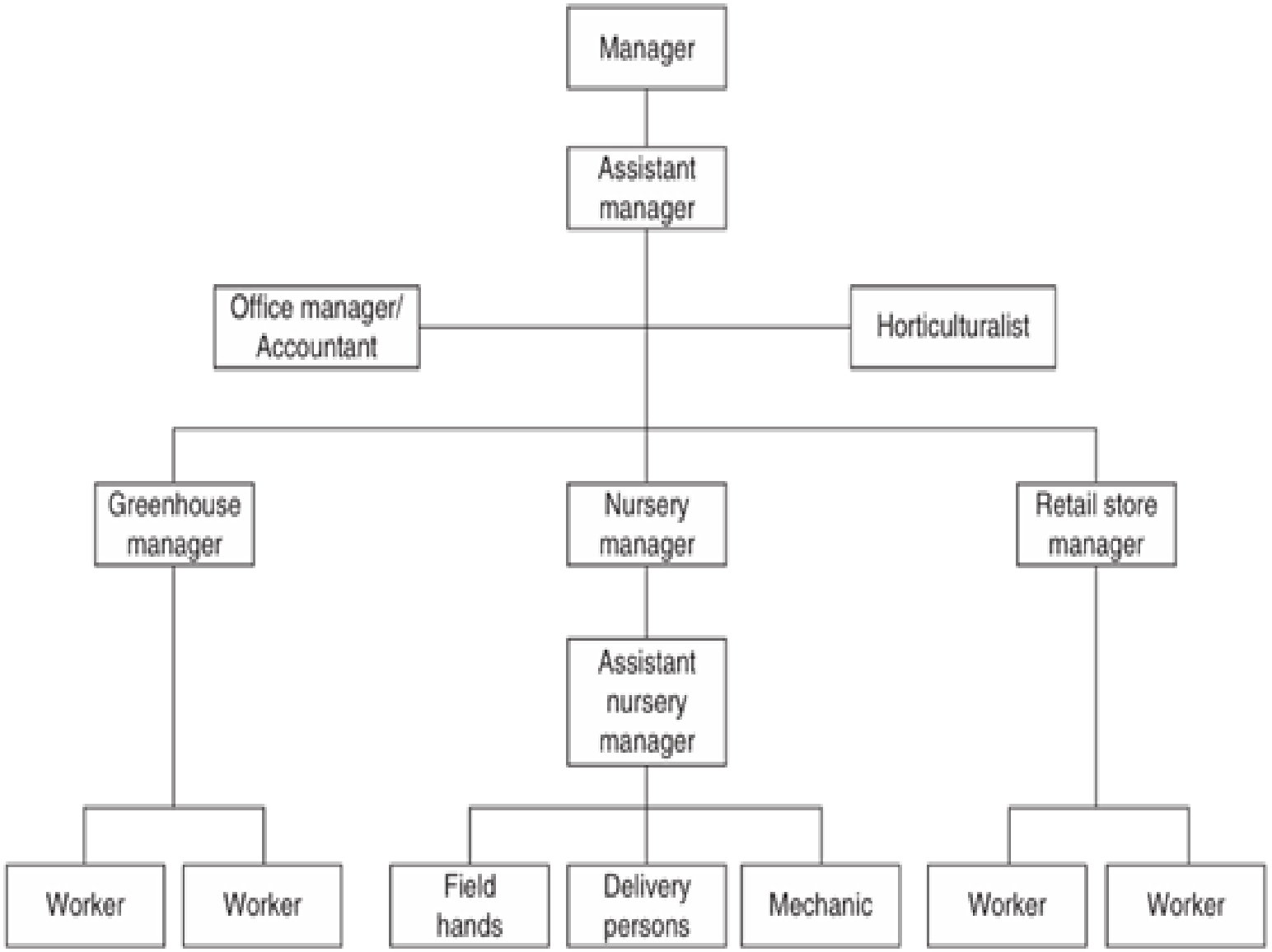
- Accountant
- Horticulturalist
- HR officer

Characteristics:

- Line managers retain authority
- Staff provide expert advice
- Staff usually have no line authority

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Line and Staff Organization Structure



Advantages:

- Professional expertise
- Better decision-making
- Improved technical performance

Disadvantages:

- Conflict between line and staff
- Staff may undermine authority
- Confusion if roles unclear

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Functional Organization

- A structure where specialists are given authority in their areas of specialization.

Example:

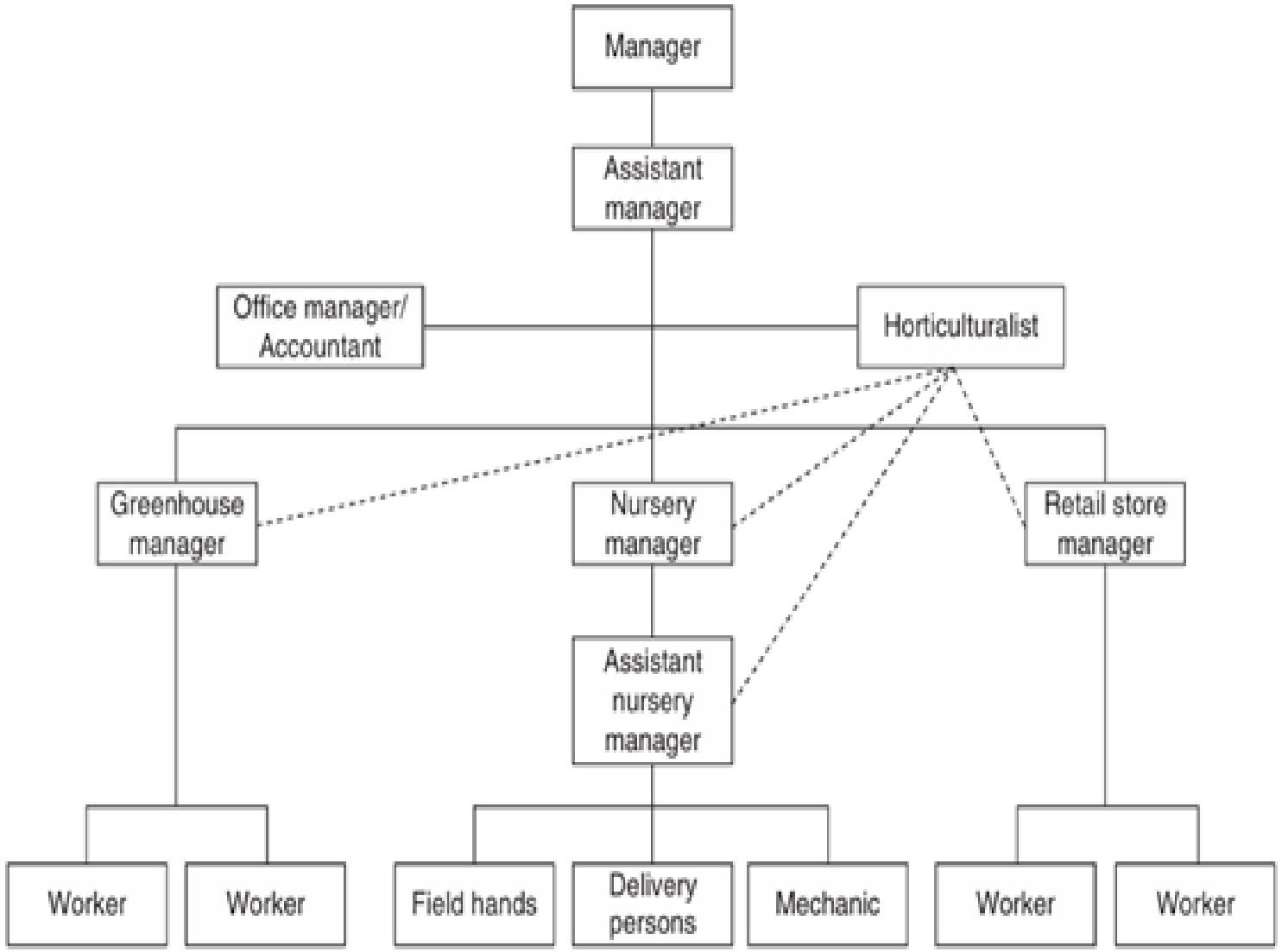
- Horticulturalist can directly instruct workers on disease control.

Characteristics:

- Multiple authority lines
- Workers may receive instructions from different specialists

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Functional Organization Structure



Advantages:

- High technical efficiency
- Expert control
- Better specialization

Disadvantages:

- Conflict
- Confusion
- Authority clashes

Common in:

- Large agribusinesses Processing firms
- Agribusiness corporations

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Organizational Communication

- No structure works without effective communication.

Good communication should be:

- Timely
- Consistent
- Thorough
- Transparent

Management should:

- Seek input
- Explain decisions
- Keep employees informed

Poor communication leads to:

- Conflict
- Confusion
- Reduced productivity

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The Informal Organization

- The informal organization is primarily concerned with interpersonal relationships among people; that is, their emotions, feelings, communications, and values.

It affects:

- Morale
- Productivity
- Employee satisfaction
- Organizational culture

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Key Elements of Informal Organization

1. **Status**
2. **Power**
3. **Politics**

1. **Status** is the social rank or position of a person in a group.

Its symbols include:

- Titles
- Experience
- Office size
- Equipment
- Privileges

Status can:

- Motivate
- Create jealousy

2. Power is the ability to control another person's behaviour.

Sources:

- Formal authority
- Knowledge
- Expertise
- Control of resources
- Respect

Managers must:

- Use power productively
- Avoid abuse of power
- Employees also exercise informal power.

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Key Elements of Informal Organization

3. Politics is the manner in which power and status are used.

Involves:

- Negotiation
- Influence
- Coalition buildings
- Persuasion

Politics can:

- Help achieve compromise
- Solve problems without confrontation
- Become manipulative

Effective managers recognize and manage politics realistically.

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Impact of Informal Organization

Positive informal organization:

- Improves productivity
- Strengthens cooperation
- Enhances communication
- Increases commitment

Negative informal organization:

- Conflict
- Resistance
- “Malicious obedience”
- Reduced efficiency

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Leadership in Agribusiness Management

Meaning of Leadership

- Managers are formally **appointed leaders** through the chain of command that originates with position.
- However, **leadership is much more than issuing commands**.

Definition:

- **Leadership is the ability to combine personal style and organizational goals in the correct proportions to motivate people toward achieving firm objectives.**

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Leadership in Agribusiness Management

Effective leadership involves:

- Working with people
- Motivating employees
- Influencing attitudes
- Aligning personal goals with organizational goals

What makes a good leader in one situation may not work in another.

Leadership is dynamic, not static.

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Leadership Styles

One common classification of leadership identifies four major styles:

(i) Authoritarian (Autocratic)

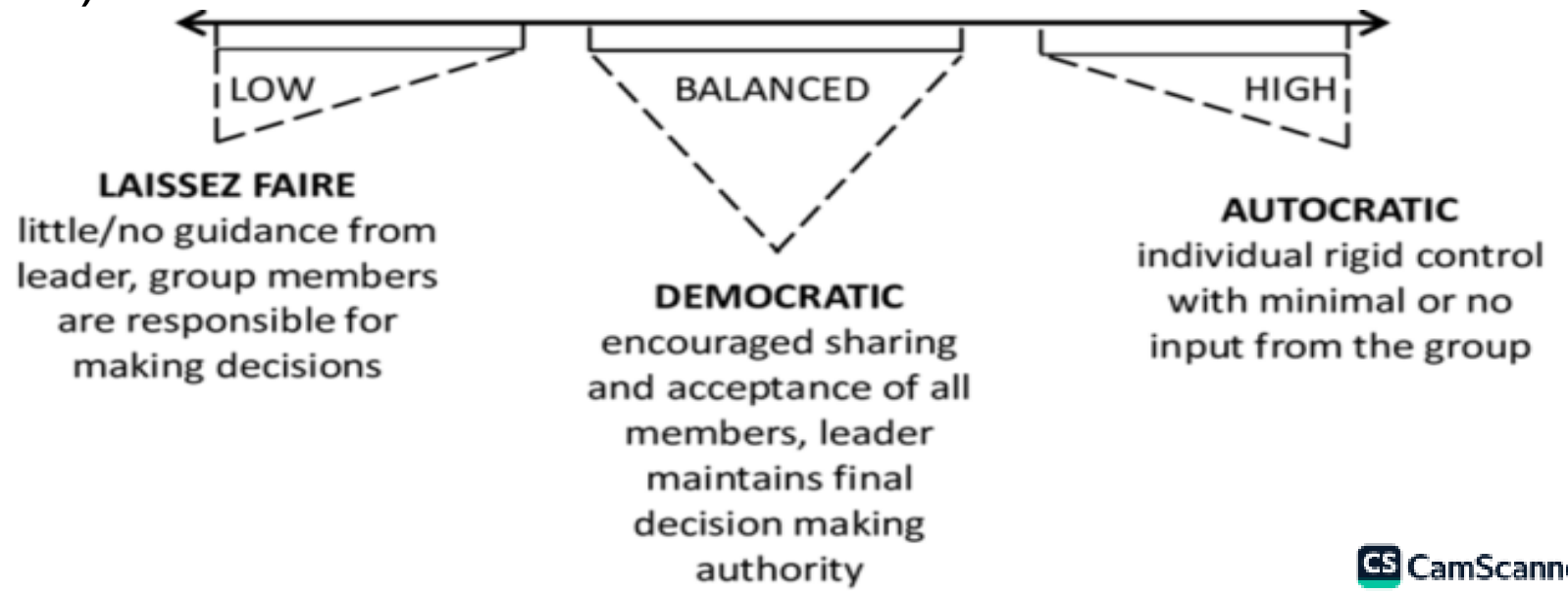
(ii) Democratic (Participative)

(iii) Free Rein (Laissez-faire)

(iv) Transformational

These styles lie along a continuum from **manager-centred** to **employee-centred** leadership.

Leadership Continuum



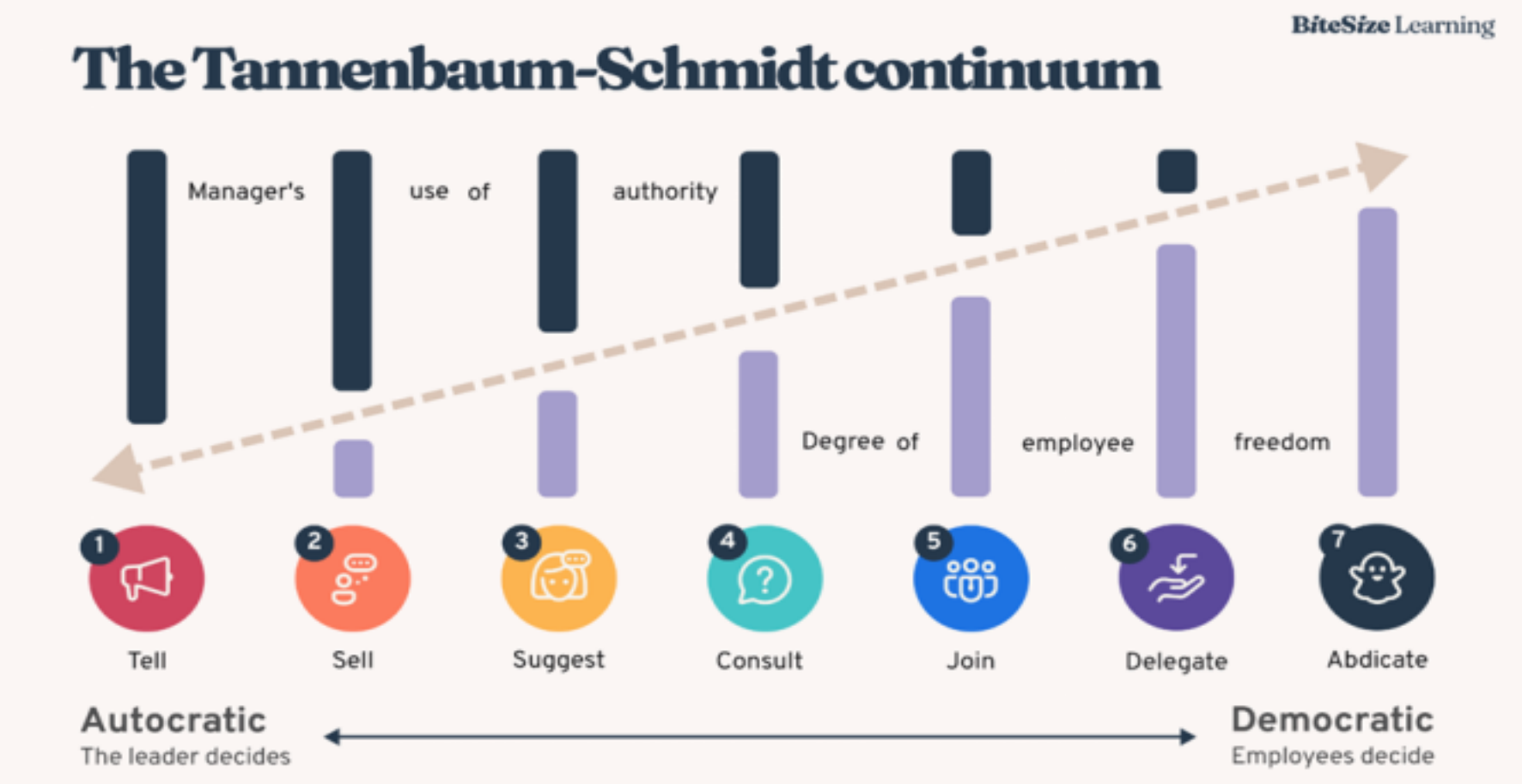
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Leadership Styles



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Leadership Styles



Left → Autocratic Middle → Democratic Right → Laissez-faire

As we move right, **employee participation increases**.

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1. Authoritarian (Autocratic) Leadership

A leader-centred style in which decisions originate with the leader and are expected to be obeyed without question.

Characteristics:

- Leader makes decisions alone
- Little consultation
- Tight control
- Quick decisions

Types of Autocratic Leaders

- **Hard-nosed autocrat** – Uses coercion and threats
- **Benevolent autocrat** – Gains obedience through praise and loyalty
- **Manipulative autocrat** – Creates illusion of participation

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Advantages & Disadvantages of Authoritarian

Advantages:

- Quick decision-making
- Clear authority
- Effective in crisis situations
- Works well with unskilled or inexperienced workers

Disadvantages:

- Low employee morale
- Dependence on the leader
- Chaos if the leader leaves
- Limited innovation

Common in small, owner-managed agribusinesses (e.g., family farms).

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2. Democratic (Participative) Leadership

- A leadership style where the leader maintains final authority but actively seeks input from employees.

Characteristics:

- Shared decision-making
- High consultation
- Encourages participation
- Builds commitment

Suitable for agribusiness firms needing innovation (e.g., food processing firms developing new products).

Advantages:

- High morale
- Strong commitment
- Better ideas
- Improved job satisfaction

Disadvantages:

- Time-consuming
- Requires strong management skills
- Not suitable in emergencies

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3. Free Rein (Laissez-Faire) Leadership

A leadership style in which decision-making authority is given entirely to employees.

Characteristics:

- Leader abdicates responsibility
- Group makes decisions
- Minimal supervision

Works only when the employee team is highly competent and self-motivated.

Advantages:

- Encourages creativity
- Works with highly skilled professionals

Disadvantages:

- Lack of direction
- Confusion
- Poor coordination
- Risk of low productivity

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4. Transformational Leadership

- As agribusiness markets become more competitive and dynamic, a new leadership style has emerged:
- Transformational leadership is a style that motivates followers to work toward higher-level goals beyond self-interest, creating major organizational change.

Three Steps of Transformational Leadership

- Recognize market changes
- Create a compelling vision
- Institutionalize change

Transformational leadership is critical in agribusiness during:

- Market liberalization
- Climate change adaptation
- Technology adoption
- Supply chain restructuring

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4. Transformational Leadership

Four Key Characteristics of Transformational Leaders

1. Idealized Influence

- Role model behaviour
- High integrity
- Confidence
- Accepts responsibility

2. Inspirational Motivation

- Creates enthusiasm
- Encourages team spirit
- Communicates clear vision

3. Intellectual Stimulation

- Encourages creativity
- Challenges old assumptions
- Promotes innovation

4. Individualized Consideration

- Mentors employees
- Recognizes individual talents
- Provides coaching

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Some Organizational Leadership theories

Theory X and Theory Y (Douglas McGregor) argued that management style depends on assumptions about human nature.

Theory X Assumptions
Employees:
- Dislike work
- Avoid responsibility
- Must be controlled
- Prefer security
- Need supervision

Result:
- Strict supervision
- Tight control
- Authoritarian leadership

Theory Y Assumptions
Employees:
- Like work
- Seek responsibility
- Are creative
- Can self-direct
- Are motivated by meaningful goals

Result:
- Participative leadership
- Empowerment
- Decentralized decision-making

- **Modern agribusiness** increasingly adopts Theory Y principles.
- **Small agribusinesses** should apply Theory X principles.

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Some Organizational Leadership Theories

Management by Objectives (MBO) by **Peter Drucker**.
A management system where supervisor and subordinate jointly set objectives & define performance measures.

Steps in MBO:

- Board sets broad goals
- Top management develops objectives
- Middle management aligns departmental goals
- Set SMART objectives
- Goals negotiated downward
- Performance evaluated objectively

Advantages:

- Clear expectations
- Employee commitment
- Measurable outcomes
- Reduced conflict

Disadvantages:

- Time-consuming
- Requires trust
- Can fail if objectives are unrealistic

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Motivation in Agribusiness

Motivation is a stimulus that produces action.

Managers must:

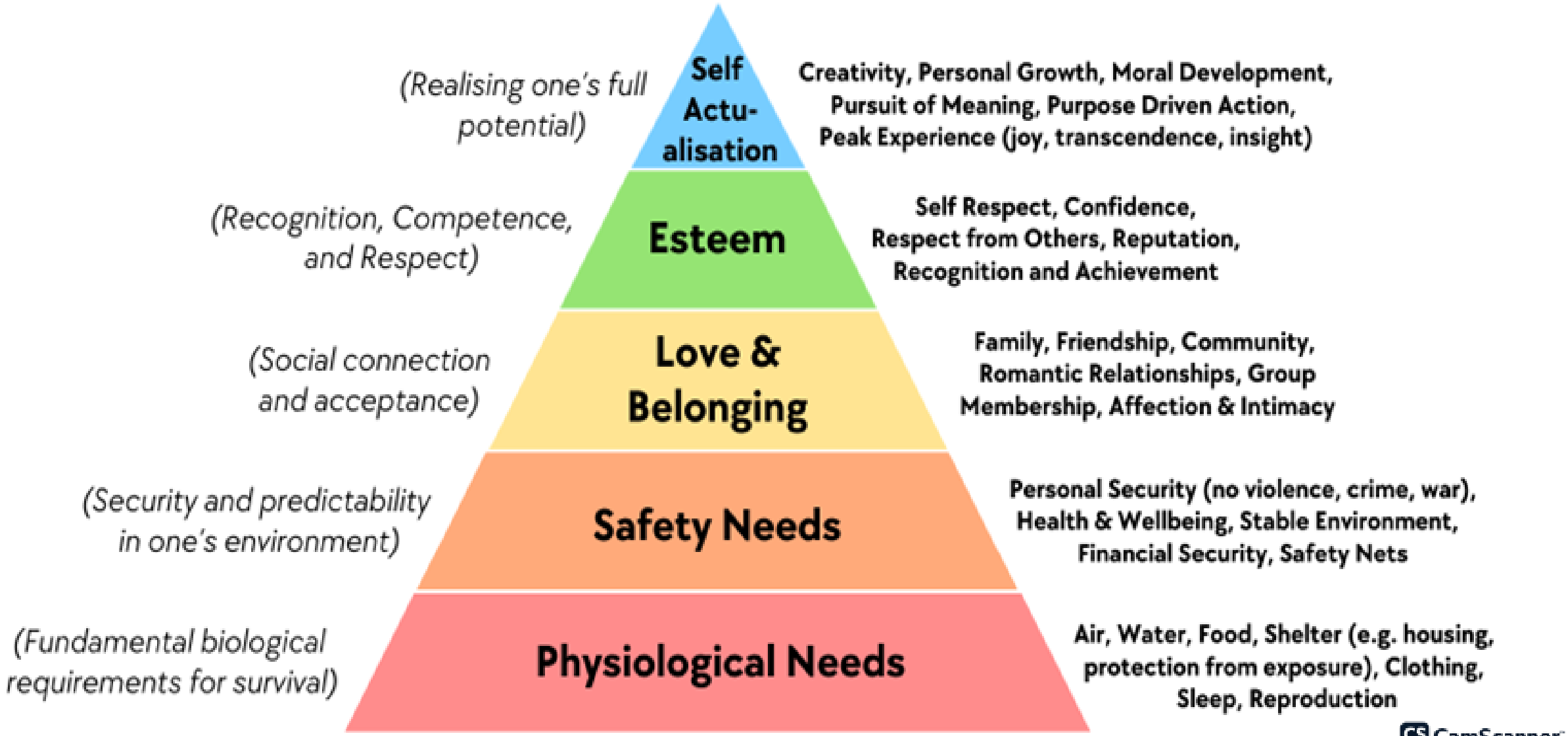
- Encourage
- Stimulate
- Create an environment for productivity

Motivation may be:

- Positive (rewards)
- Negative (punishment)
- Intrinsic (internal satisfaction)
- Extrinsic (external rewards)

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Maslow's Needs Hierarchy by **Abraham Maslow**.



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Maslow's Needs Hierarchy by **Abraham Maslow**.

Five Levels:

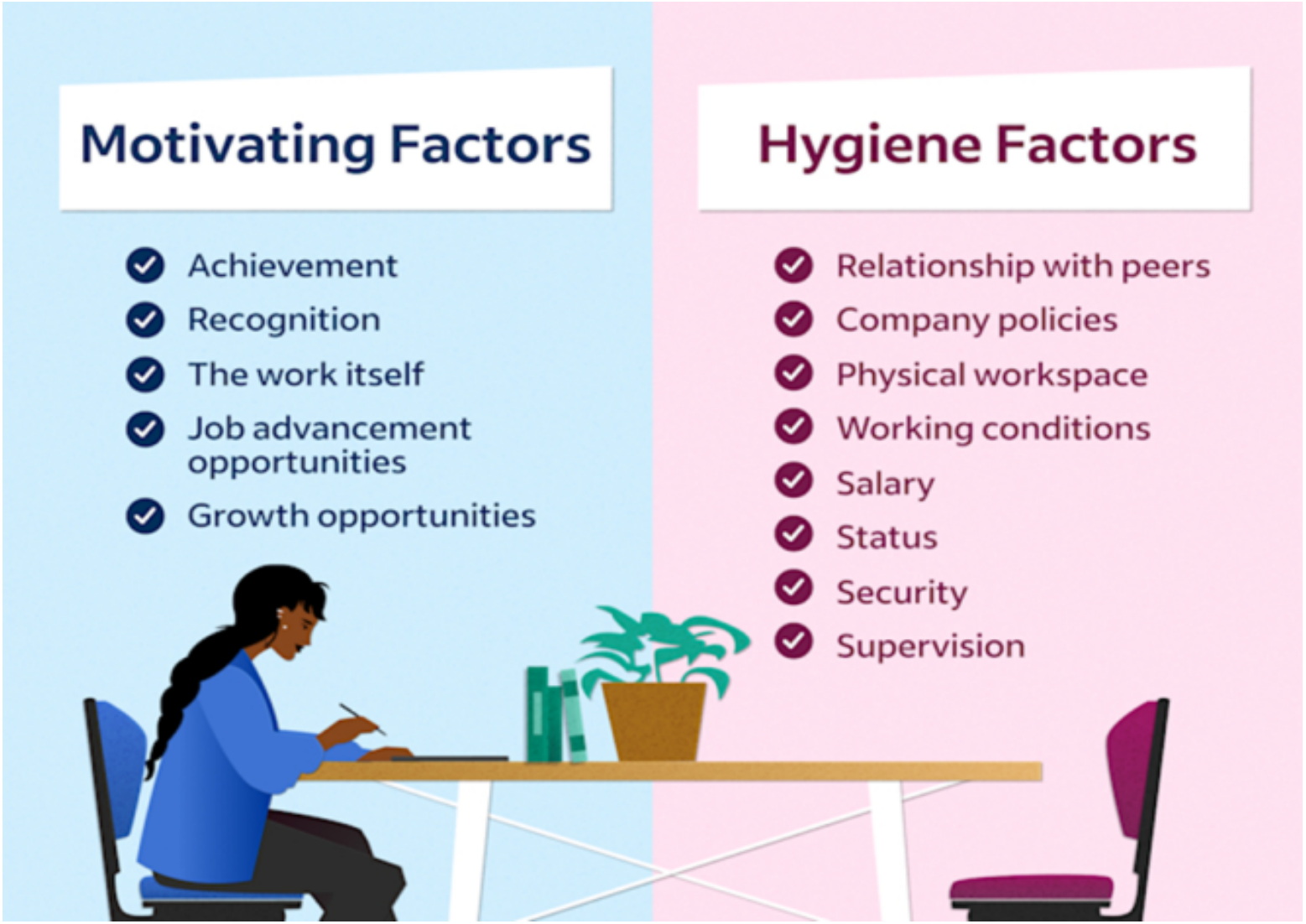
1. Survival (food, water, shelter)
2. Safety (security, job stability)
3. Belongingness (acceptance)
4. Ego/Esteem (recognition)
5. Self-actualisation (personal fulfilment)

In agribusiness:

- Commission incentives appeal to ego needs
- Team culture appeals to belongingness
- Innovation projects may satisfy self-actualisation

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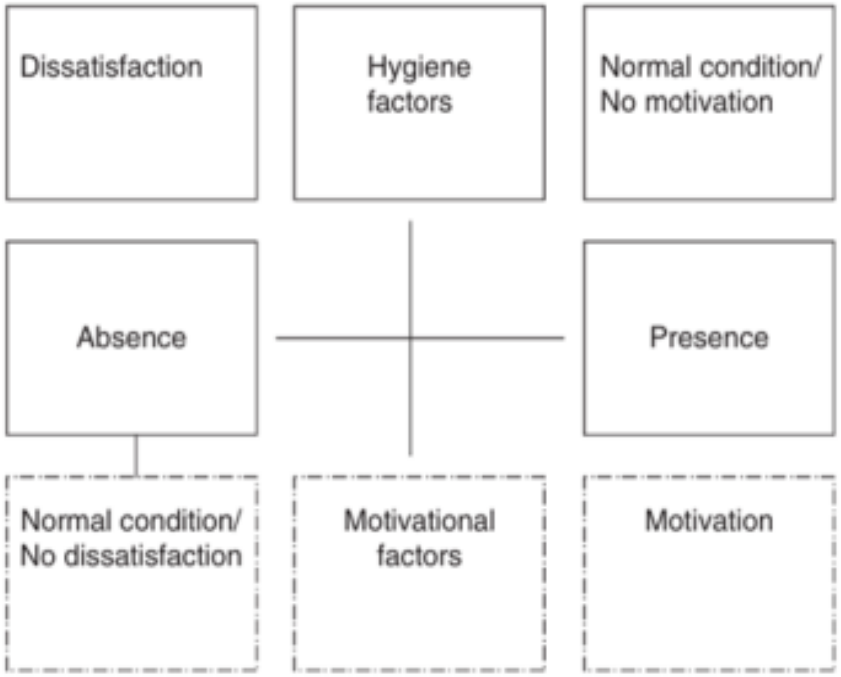
Herzberg's Two-Factor Theory by **Frederick Herzberg**.



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Herzberg's Two-Factor Theory by **Frederick Herzberg.**

Hygiene Factors (Prevent Dissatisfaction)



Presence → No dissatisfaction

Absence → Dissatisfaction

Motivators (Create Satisfaction)

- Recognition
- Responsibility
- Achievement
- Growth

Presence → Motivation

Absence → Neutral

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Vroom's Expectancy Theory by **Victor Vroom**.

Formula:

Motivation = Expectancy × (Instrumentality × Valence)

Where:

- Expectancy = "Can I do it?"
- Instrumentality = "Will I be rewarded?"
- Valence = "Do I value the reward?"

If any component = 0 Motivation = 0

- **Important for incentive systems in agribusiness sales teams.**

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Vroom's Expectancy Theory by **Victor Vroom**.

	Valence (V) i.e. Desired outcome	**Expectancy (E)** i.e. Employee's assessment of how likely it is that the task will be achieved	**Instrumentality (I)** i.e. Employee's perception that there will actually be a reward	**M = E (I x V)** i.e. Expectancy multiplied by product of instrumentality and valence	**M** i.e. Employees's motivation
Employee A	The employee believes that the outcome is very attractive. = 0.8	As past performance is poor, employee assessed the task as difficult to achieve = 0.2	Employee definitely believes that there will be a reward = 1.0	M = 0.2 (1 x 0.8)	M = 0.16
Employee B	The employee believes that the outcome is relatively attractive. =0.6	As past performance is reasonable, employee assessed the task as reasonably achievable = 0.6	Employee definitely believes that there will be a reward = 1.0	M = 0.6 (1 x 0.6)	M = 0.36

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Employee Recognition and Strokes

Stroke:

Any recognition of another person's presence.

Examples:

- "Good morning"
- Smile
- Handshake
- Praise

Types of Strokes

1. Positive Unconditional

"I like you."

- Builds loyalty
- Not manipulative
- Strengthens morale

2. Positive Conditional

"If you do this or that

- Used for motivation
- Linked to performance
- Common in bonus systems

3. Negative Strokes

- Criticism
- Reprimands
- Disapproval

May gain attention but reduce morale.

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Conclusion

Effective organizational leadership in agribusiness requires:

- Understanding people
- Choosing the right leadership style for the situation
- Applying motivational theories appropriately
- Using recognition strategically
- Communicating effectively

Technical knowledge alone does not make a successful agribusiness manager; **people management does.**

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The End

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References

Barnard, F. L., Akridge, J. T., Dooley, F. J., & Foltz, J. C. (2012). *Agribusiness management* (4th ed.). Routledge.

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